

5-3a Inventory Shrinkage

Under the perpetual inventory system, the inventory account is continually updated for purchase and sales transactions. As a result, the balance of the inventory account is the amount of merchandise available for sale at that point in time. However, retailers normally experience some loss of inventory due to shoplifting, employee theft, or errors. Thus, the physical inventory on hand at the end of the accounting period is usually less than the balance of Inventory. This difference is called

inventory shrinkage (The amount by which the merchandise for sale, as indicated by the balance of the inventory account, is larger than the total amount of merchandise counted during the physical inventory.)

or

inventory shortage (The amount by which the merchandise for sale, as indicated by the balance of the inventory account, is larger than the total amount of merchandise counted during the physical inventory.)

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To illustrate, **NetSolutions**' inventory on December 31, 20Y8, is as follows:

Account balance of Inventory	\$63,950
Physical inventory on hand	<u>62,150</u>
Inventory shrinkage	<u><u>\$ 1,800</u></u>

At the end of the accounting period, inventory shrinkage is recorded by the following adjusting entry:

Adjusting Entry					
Dec. 31	Cost of Goods Sold		1,800		
	Inventory			1,800	
	Inventory shrinkage (\$63,950 – \$62,150).				
	Assets	=	Liabilities	+	Stockholders' Equity
	Inventory				Cost of Goods Sold
	<u>1,800</u>				<u>1,800</u>

Business Insight

E-Commerce Shopping Carts

When you shop on an e-commerce site, you will often select items that fill out a shopping cart form that identifies the items to be purchased and their prices. This illustration is from **Apple's (AAPL)** shopping cart. The shopping cart has a set of Apple EarPods at a price of \$29. When checking out, the e-commerce site will automatically record the sales transaction for this purchase at a sales price of \$29, plus appropriate sales tax and shipping. In addition, completing the checkout will record the reduction of EarPod inventory by one unit and record the appropriate cost of goods sold. Thus, all the merchandising transactions are generated from the shopping cart checkout process.

Items in Your Cart



Apple EarPods with Remote and Mic

Delivery: In Stock

 [Show Gift Options](#)

\$29.00

1

\$29.00

[Remove](#)

Part number MD827LL/A

[Financing available](#)

Cart subtotal

\$29.00

Free shipping

\$0.00

 Estimated Tax

[Calculate](#)

Total

\$29.00

[Continue Shopping](#)
[Save Cart](#)
[Chat Now](#)

[Check Out](#)

Source: Apple.®

After the preceding entry is recorded, the balance of Inventory agrees with the physical inventory on hand at the end of the period. Since inventory shrinkage cannot be totally eliminated, it is considered a normal cost of operations. If, however, the amount of the shrinkage is unusually large, it may be disclosed separately on the income statement. In such cases, the shrinkage may be recorded in a separate account, such as Loss from Inventory Shrinkage.